Fundamentals of Financial Accounting

What Accounting Does

Accounting is the process of identifying, recording, summarising and reporting the economic events of an organisation so that owners, managers, lenders, investors and tax authorities can make informed decisions. It is often called the language of business because almost every commercial decision, from pricing a product to applying for a bank loan, is eventually expressed in accounting numbers. Financial accounting focuses on reports for people outside the business, while management accounting produces detailed internal reports such as budgets, cost sheets and variance analyses that help managers plan and control operations.

The work of an accountant usually follows a repeating cycle. Source documents such as invoices, receipts, bank statements and payroll records are collected first. Each transaction is then analysed and recorded as a journal entry, posted to the relevant ledger accounts, summarised in a trial balance, adjusted at the end of the period, and finally presented in financial statements. After the statements are prepared, temporary accounts are closed so that the next period starts with a clean slate.

The Accounting Equation

Every accounting system is built on a single identity: Assets = Liabilities + Equity. Assets are resources controlled by the business that are expected to bring future economic benefit, such as cash, inventory, receivables, machinery and buildings. Liabilities are obligations the business owes to outsiders, for example supplier payables, bank loans and taxes due. Equity, also called owner's capital or shareholders' funds, is the residual interest that remains after liabilities are subtracted from assets.

The equation must hold after every transaction. If a business borrows 50,000 rupees from a bank, cash (an asset) rises by 50,000 and a bank loan (a liability) rises by the same amount. If the owner invests 1,00,000 rupees of personal money, cash and capital both increase. If the business buys furniture for cash, one asset increases while another decreases, and the totals do not change at all.

Double-Entry Bookkeeping

Double-entry bookkeeping records every transaction in at least two accounts: one account is debited and another is credited with equal amounts. The system is commonly credited to the Italian mathematician Luca Pacioli, who described it in his 1494 book Summa de arithmetica, although merchants in Venice and Florence had been using it for many years before that. Because total debits always equal total credits, the method provides a built-in arithmetic check on the accuracy of the books.

The rules of debit and credit depend on the type of account. Assets and expenses increase with a debit and decrease with a credit. Liabilities, equity and income increase with a credit and decrease with a debit. In India the traditional golden rules are still widely taught: for personal accounts, debit the receiver and credit the giver; for real accounts, debit what comes in and credit what goes out; and for nominal accounts, debit all

expenses and losses and credit all incomes and gains.

Journals, Ledgers and the Trial Balance

The journal is the book of original entry, where transactions are recorded in chronological order with the date, the accounts affected, the amounts and a short narration. Large organisations use special journals or subsidiary books, such as the purchases book, sales book and cash book, to handle high volumes of similar transactions.

Entries from the journal are posted to the ledger, which contains a separate account for every asset, liability, equity, income and expense item. The ledger shows the running balance of each account. At the end of a period a trial balance is prepared by listing the closing balance of every ledger account. If total debits equal total credits, the books are arithmetically correct, but the trial balance cannot detect every mistake. Errors of omission, errors of principle and compensating errors can all leave the trial balance in agreement while the accounts are still wrong.

Accrual Basis versus Cash Basis

Under the cash basis of accounting, revenue is recorded when cash is received and expenses are recorded when cash is paid. It is simple and suits very small businesses, but it can give a misleading picture of performance. Under the accrual basis, revenue is recognised when it is earned and expenses are recognised when they are incurred, regardless of when cash changes hands. This follows the matching principle, which requires that the expenses incurred to earn revenue are reported in the same period as that revenue. Companies in India are required to follow the accrual basis under the Companies Act, 2013.

End-of-period adjusting entries are what make accrual accounting work. Typical adjustments include outstanding expenses such as unpaid salaries, prepaid expenses such as insurance paid in advance, accrued income that has been earned but not yet received, income received in advance, depreciation on fixed assets, and provisions for doubtful debts.

The Financial Statements

The balance sheet, also called the statement of financial position, shows assets, liabilities and equity at a specific date. It is a snapshot of what the business owns and owes. The profit and loss statement, or income statement, reports revenues and expenses over a period and ends with the net profit or net loss. The cash flow statement explains how cash moved during the period and classifies the movements into operating, investing and financing activities. Together with the notes to accounts, these statements give users a complete view of financial position, performance and liquidity.

Depreciation

Depreciation allocates the cost of a tangible fixed asset over its useful life. It is not a method of valuing the asset but a way of matching the cost of using the asset against the revenue it helps to generate. The straight-line method charges an equal amount every year and is calculated as cost minus residual value, divided by useful life. For example, a

machine costing 2,00,000 rupees with a residual value of 20,000 rupees and a useful life of 6 years has an annual straight-line depreciation of 30,000 rupees. The written-down value method, also called the diminishing balance method, applies a fixed percentage to the opening book value each year, so the charge is higher in the early years and falls over time.

Key Accounting Principles

Several concepts guide how transactions are recorded. The business entity concept treats the business as separate from its owner. The going concern concept assumes the business will continue operating for the foreseeable future. The consistency principle requires the same methods to be used from one period to the next so that statements can be compared. The prudence or conservatism principle tells accountants to anticipate losses but not profits. The materiality concept allows insignificant items to be treated in the simplest practical way. In India, listed and large companies prepare their statements under Ind AS, the Indian Accounting Standards converged with IFRS, while smaller entities continue to follow the Accounting Standards issued by the Institute of Chartered Accountants of India.

Why Accounting Software Matters

Modern businesses rarely keep manual books. Accounting software automates journal entries from invoices, reconciles bank statements, calculates taxes, generates statutory returns and produces financial statements in real time. Automation reduces arithmetic errors and saves time, but it does not replace understanding: the user must still classify transactions correctly, review exceptions and interpret the reports that the software produces.